

Fees and Charges

ASEAN Renewable Energy Corp - Green Corporate Bond (ISIN: USGRN0032025)

Prepared for RHB Malaysia Bank Wealth Customers

Date: 2-Sep-2025

1. Executive Summary

The ASEAN Renewable Energy Corp Green Corporate Bond (the “Bond”) represents an opportunity for investors to participate in the rapidly expanding renewable energy sector in Southeast Asia. This issuance seeks to raise funds to support expansion of solar, wind, and biomass projects across multiple ASEAN nations.

- **Coupon Rate:** 5.00% fixed annual coupon
- **Maturity:** 3 years (20-Sep-2027)
- **Minimum Investment:** USD 500,000
- **Use of Proceeds:** Renewable energy infrastructure development (solar parks, wind farms, biomass plants)
- **Credit Rating (Expected):** BBB (Stable) by international rating agencies

2. Issuer Overview

ASEAN Renewable Energy Corp (AREC) is a leading regional renewable energy developer with operational projects in **Indonesia, Vietnam, and the Philippines**.

- **Track Record:** Over 1.5 GW of renewable energy capacity installed since 2015.
- **Business Model:** Development, ownership, and operation of renewable energy assets.
- **Revenue Source:** Long-term Power Purchase Agreements (PPAs) with state utilities and large corporations.
- **Sustainability Alignment:** Projects comply with UN SDG 7 (Affordable & Clean Energy) and Paris Agreement targets.

3. Bond Terms & Conditions

Feature	Details
Issuer	ASEAN Renewable Energy Corp
ISIN	USGRN0032025
Currency	USD
Issue Size	USD 250 million
Denomination	USD 500,000 (minimum)
Tenor	3 years
Maturity Date	20-Sep-2027
Coupon Rate	5.00% fixed
Payment Frequency	Annual
Redemption	Bullet (full repayment at maturity)
Governing Law	Singapore Law

4. Use of Proceeds

Proceeds from the issuance will be exclusively allocated to:

1. **Solar Power Projects** – Rooftop and utility-scale solar farms.
2. **Wind Power Projects** – Onshore wind projects in Vietnam.
3. **Biomass Projects** – Agricultural residue-based plants.
4. **Green Infrastructure** – Transmission and grid support facilities.

Funds will be tracked under AREC's **Green Financing Framework**, externally verified by a third-party ESG auditor.

5. Risk Factors

Investment in the Bond is subject to various risks, including but not limited to:

- **Credit Risk:** Issuer's ability to meet obligations depends on project cashflows.

- **Market Risk:** Bond prices may fluctuate with interest rate movements.
- **Currency Risk:** USD-denominated; non-USD investors face FX exposure.
- **Liquidity Risk:** Secondary market liquidity may be limited.
- **Regulatory Risk:** Renewable energy incentives may change in ASEAN countries.

7. Taxation

- **Withholding Tax:** 10% on coupon payments (may vary by jurisdiction).
- **Capital Gains:** Subject to local laws in investor's country of residence.
- **Reporting:** Annual statement will be provided to investors.

8. Sustainability Impact

- Estimated carbon emission reduction: **1.2 million tons CO₂ annually**.
- Social benefits: Employment generation in rural areas.
- Certifications: Bond structured under **ICMA Green Bond Principles (2021)**.

9. Governance & Oversight

- Funds monitored by an independent trustee.
- Annual impact report published for investors.
- Third-party assurance of ESG compliance.

10. Subscription Process

1. Submit application form via placement agent.
2. Transfer subscription funds (minimum USD 500,000).
3. Bonds credited into investor's custodial account.
4. Annual coupon credited directly to investor's designated bank account.

11. Contact Information

Lead Manager: Global Securities Ltd.

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12. Disclaimers

This document is not an offer or solicitation to sell securities. Investment in bonds carries risk, and investors may lose part or all of the invested capital. Please consult your financial advisor before making any investment decision.